1. Which are the top three variables in your model which contribute most towards the probability of a lead getting converted?

Answer -

Here are top 3 positive predictors by final logistic regression: The positive coefficient signifies the effect on lead conversion. Higher value of coefficient means the stronger effect on increase in probability. Hence, we pick the top 3 positive contributors in final model

1.Lead OriginLead Add Form Lead OriginLead Add Form comes first among top positive predictors.

This signifies that those leads originating from Lead Add Form are significantly more likely to convert than other lead origin groups. This holds strong intuitive business logic, as the individual filling up a lead form clearly signals the intent in terms of the course they are willing to consider; they are no longer an anonymous visitor on the website. Hence the lead team should assign such Leads as a higher priority lead.

2. What is your current occupationWorking Professional Most important variable after first variable: What is your current occupationWorking Professional This tells us that working professionals converted into customers. This is the highest business potential outcome since X Education mainly sells online courses to industry professionals. Professionals can want career progression, higher salary, promotion, career change or just want to update skills.With these goals they are a more eager candidate to enroll in an online course.

So professionals should be targeted as one of the major customer groups.

3. Lead Source_Welingak Website This is the third key factor. This implies thatleads derived from Welingak Websites have a stronger propensity to conversion, so they are a good lead source.

Welingak Websites provide a quality stream of leads for the organisation.Therefore,the firm should pay special attention to this leadsource, as leadsfrom Welingak Websites have more chance to become good customers.

Business Interpretation -

To wrap up with the results derived from the model, we would like to infer that the leads generated via ‘Lead Add Form,’ sourced from,’Welingak Website,’ ‘Working Profession,’ had the best opportunity and would therefore deserve a higher ‘Lead Score,’ thereby prioritized by sales team to reach out the conversion.

2. What are the top 3 categorical/dummy variables in the model which should be focused the most on to increase the probability of lead conversion?

Answer -

The most important top 3 Categorical/ Dummy variables for maximizing the lead conversion can be listed as:

1. Lead OriginLead Add Form

2. What is your current occupationWorking Professional

3. Lead SourceWelingak Website

Why Because the coefficients associated with these 3 features are positive and they provide higher probability to convert the lead to opportunities.

In the final model, the values for the above variables show high positive co-efficients, which mean they enhance the probability of conversion for a lead

1. Lead OriginLead Add Form – The first variable from Categorical value set which is statistically significant in the final model is Lead OriginLead Add Form. The result signifies that leads acquired through this source have a higher probability of being converted.

When leads have filled up the Add Form they explicitly provide details hence showing higher intent to purchase than those browsing the web.Thus, it can be inferred that such leads deserve X Education's immediate attention with prompt course details, counselling, and follow-up support from the sales team.

2. What is your current occupation_Working Professional This is the second important categorical variable. Working professionals are more likely to buy a plan.

It's practical since X Education only offer courses to working professionals.A professional might want to get a new job, get an appraisal, up skill himself, grow on his career etc., which means they invest in themselves which is why they buy. The company should focus on this segment while conducting their calls, counsels, etc.

3. Lead SourceWelingak Website Third most significant categorical variable is Lead SourceWelingak Website. Lead Source_Welingak Website: The fact implies that leads originating from the Welingak Website are more prone to conversion.

It seems this source provides quality leads to X Education, and investment must continue to invest, analyze its high performance, and potentially strengthen marketing partnerships, campaigns, or activities.

<u>Final Recommendations -</u>

To convert lead into a paying customer, X Education need to give attention to Lead Add Form, Working Professionals and Welingak Website lead source, these leads need to give more score value and called before other.

3. X Education has a period of 2 months every year during which they hire some interns. The sales team has around 10 interns allotted to them. So, during this phase, they wish to make the lead conversion more aggressive. So, they want almost all the potential leads (i.e., the customers who have been predicted as 1 by the model) to be converted and hence, want to make phone calls to as much of such people as possible. Suggest a good strategy they should employ at this stage.

Answer -

When X Education has approximately 10 interns available throughout a 2 month period, X Education needs to adopt a more proactive lead conversion strategy. As there will be surplus capacity in call activity, the priority would be to touch base with as many leads as possible and avoid skipping out on any convertible leads. Sensitivity (the model's ability to identify leads that are very likely to convert), should take prominence in this instance.

The strategy X Education should apply is to try to minimise their false negatives, which indicates avoiding opportunities to convert the most probable leads.

For example, the final model uses 0.3 as the cutoff value, in a more proactive conversion strategy, this can remain the same or slightly lower i.e. 0.2 to 0.25. As a lower value in this instance leads to a greater prediction for a potential hot lead, this will mean calling more people but minimising the potential risk of missing out on the highest quality leads.

The recommended strategy is:

1. Change The Cutoff. - In order to be as aggressive as possible with the data, the company should use a lower threshold value (cutoff value) compared to the original 0.7–0.8 values. For example, 0.2–0.3.Changing cutoff to 0.3, will turn 80 percent more leads into predict.

2. Contact The High Score Lead. - As the threshold is at 0.3, the company may be as aggressive and consider all of the lead with scores higher than or equal to 30 as potential leads.

3. Prioritize Those Who Are Hot - the high lead score is 80; and the experienced sales team can be tasked to call those customers because they have high chances of conversion.

4.Use interns to call warm leads - Since the experienced sales teams are to be engaged with "hot leads", the interns, who are to contact all leads higher than or equal to 30, can be asked to follow up with the remaining lead score. These leads, which range from 30 to 80 lead scores, may require extra hand in terms of counselling, reminders, and following up with.

5.Focus On Top Lead Sources. - Focus specifically on the leads that come from the Lead Add Form, Welingak Website and on the leads which areWorkingProfessionals, because these factors play positively impacted our prediction and also contribute the high percentage in the data.

6. Accept some additional calls, not important leads, because of the aggressive nature of this campaign, the company should be ready to accept some additional "useless" calls. Interns and new interns can afford to make calls to these leads.

The main objective is not to reduce calls; it is to convert.Consequently, X Education, during the internship period should implement the lower value (cutoff value) and high sensitivity approach to contact as many possible clients and thus have better results during this 2-month internship period.

4. Similarly, at times, the company reaches its target for a quarter before the deadline. During this time, the company wants the sales team to focus on some new work as well.
So, during this time, the company's aim is to not make phone calls unless it's extremely necessary, i.e., they want to minimize the rate of useless phone calls. Suggest a strategy they should employ at this stage.

Answer-

If X Education have achieved its goal by the time of the quarter's deadline, the company must maintain the conservative calling strategy. In this phase the aim will not to call as many people as possible. But the aim is not waste calls on worthless leads and to call on leads that would potentially turn into a customers.
Therefore the company should concentrate on its specificity at this phase, model specificity determines ability to choose leads who are unlikely to turn into a customer. So if the company's specificity level goes up (fewer irrelevant leads selected) the likelihood of finding hot leads would go down.
Final model has balance cutoff 0.3. However at this phase X Education should change the cutoff up to 0.7-0.8 to classify fewer people as hot leads but those identified leads would be strong enough.

The suggested plan is

1. Use a higher cutoff value
As an alternative to the balanced cutoff value of 0.3, it is recommended that the company applies a higher value like 0.7 or 0.8. By doing this the system predicts that a smaller quantity of leads will undergo conversion.

2. Call only customers with high lead scores
If the sales team contacts only leads with a lead score above 70 or 80, they focus on individuals who show the most frequent engagement. In this group the likelihood that a person becomes a customer is at its highest level.

3. Avoid calling leads with cold or low scores
To ensure that staff do not make calls that lack a productive purpose, it is necessary that they do not contact leads with low scores during this period.

4. Prioritize the lead segments with the most influence
When the sales team works, they should focus on leads from Lead Add Form, Welingak Website & Working Professionals. For those variables, the final model shows a high degree of positive correlation with successful outcomes.

5. Use sales team time for other work
Due to the fact that the team has reached the quarterly target already, it is possible for employees to use the time they save for other tasks. In this time they can improve relationships with customers, increase the quality of course counselling, collect feedback or plan future campaigns.

6. Accept that some potential leads might be missed
There is a possibility that a higher cutoff value excludes a small number of leads who might have converted - but this result is acceptable in the current situation, because the main goal for the company is to minimize calls that do not result in sales and to focus only on leads that show a very high level of interest.

Therefore, during this phase, X Education should use a high cutoff and high-specificity strategy. This will help the company minimize unnecessary phone calls and allow the sales team to focus only on the best-quality leads.